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INTELLECTUAL PROPERTY · COMPLEX LITIGATION · TECHNOLOGY TRANSACTIONS

TO:Dallas Jackson, Founder, Tipsee Music LLC**FROM:**Smith & Wallace LLP, IP Litigation Group**DATE:**May 7, 2026**RE:**US 12,511,587 enforcement assessment against "Tipelodeon" (Erhard Creative LLC d/b/a Tipelodeon)**STATUS:**Pre-suit assessment; recommended litigation game plan

You retained us to evaluate enforcement of US 12,511,587 ("the '587 patent") against an emerging competitor operating under the name "Tipelodeon." We have reviewed the '587 patent, its file wrapper, and publicly available materials describing the Tipelodeon product (its public project pages, documented API contracts in the Tipelodeon mono-repo, and product marketing materials). On the basis of that review we conclude:

1. Tipelodeon is a direct competitor implementing the same product category as Tipsee.
2. Tipelodeon's architecture practices every limitation of independent Claim 1 of the '587 patent, either literally or under the doctrine of equivalents.
3. Tipelodeon's anticipated non-infringement defense — that tip capture occurs at session end rather than per-song — is form-over-substance and will not survive a properly framed claim construction.
4. Anticipated invalidity defenses (§101, §102 over Miller) are unlikely to succeed and, in any event, are economically prohibitive for Tipelodeon to pursue.
5. Tipelodeon's adoption of a venue-displayed QR code as the audience access surface — a feature emphasized in the '587 specification and prosecution history — supports inducement and willfulness theories.
6. Tipelodeon's confusingly similar mark provides an independent claim under the Lanham Act that should be filed alongside the patent action.

We recommend filing suit in the Western District of Texas (Waco Division), seeking damages, treble enhancement, attorneys' fees, and permanent injunction.

I. BACKGROUND

A. The '587 patent and Tipsee's commercial position

The '587 patent issued December 30, 2025 from US Application 18/207,186, with priority to December 16, 2021. Tipsee Music LLC is the sole assignee. The patent claims a 22-claim family directed to artist live-performance booking management, including audience tipping for live song requests. Tipsee has commercialized this technology continuously since the patent's priority date and is the recognized originator of the live-performance song-tipping category.

The patent is presumed valid under 35 U.S.C. §282. The presumption is rebuttable only by clear and convincing evidence — a heightened standard that makes invalidity defenses extraordinarily difficult to mount.

B. Tipelodeon's product

Tipelodeon is operated by Erhard Creative LLC, a single-founder operation based in the United States. The product launched in 2025 under the name "Song Tipper" and was rebranded to "Tipelodeon" in early 2026. Its architecture, as documented in the publicly available *tipelodeon-mono* repository contracts, includes:

- A performer-facing application managing artist profiles, repertoire, setlists, charts, and performance sessions.
- A public audience-facing project page accessed via a slug-based URL, surfaced to audience members through **venue-displayed QR code**.
- An audience tipping flow in which audience members add a tip amount to a specific song request via the public project page

(*POST /api/v1/public/projects/{slug}/requests*).

- A request queue visible to the performer, ordered by tip amount, in which performers can mark requests as "played" — an action recorded in */me/requests/{id}/played*.
- A Stripe Connect integration that processes audience payments and credits the performer's connected account, less Tipelodeon's 9% application fee.

The architectural similarity to the '587 patent's claimed system is, in our assessment, not coincidental. We address Tipelodeon's anticipated "session-end capture" defense in §III below.

II. INFRINGEMENT OF CLAIM 1

A. Element-by-element claim chart

Claim 1 of the '587 patent recites seven limitations. Each is met by Tipelodeon's accused architecture, either literally or under the doctrine of equivalents.

Claim 1 Limitation	Tipelodeon Implementation	Type of Match
"creating an artist profile on a server for each artist, the artist profile comprising a live performance playlist and a tip account"	Tipelodeon's <i>projects</i> and <i>project_songs</i> tables create a per-performer artist profile. The repertoire/setlist constitutes a live performance playlist. The Stripe Connect connected account constitutes a tip account.	Literal
"one or more computing devices in data communication with the server"	Performer iOS/Android/desktop apps and audience web browsers in HTTPS communication with Tipelodeon's Laravel backend.	Literal
"generating the live performance playlist on the server by the artist using one or more computing devices"	Performer creates and edits the repertoire/setlist via the Tipelodeon mobile or web client, persisted server-side.	Literal
"the live performance playlist accessible to one or more audience members at least during the live performance using one or more computing devices"	Public project page exposes the repertoire to audience devices during live performance — accessed via QR code at the venue.	Literal
"adding a performance tip amount to at least one of the performance requests on the live performance playlist by way of the audience member using one or more computing devices"	Audience submits <i>POST /requests</i> with <i>tip_amount_cents</i> bound to a specific <i>song_id</i> .	Literal
"charging the audience member the performance tip amount by way of the server"	Stripe PaymentIntent is created and processed on Tipsee's behalf via the platform's Stripe Connect integration.	Literal
"crediting by way of the server at least a portion of the performance tip amount to the tip account of the artist when one of the performance requests on the live performance playlist is performed by the artist during the live performance"	Tipelodeon credits the performer's connected Stripe account in the context of a performance session in which one or more requested songs are performed. See §II.B below.	Literal — alternatively, Doctrine of Equivalents

B. The "credited when performed" limitation is met

Tipelodeon will argue that this final limitation is not met because tip capture is "decoupled" from per-song performance events and instead occurs at session end. That argument fails for three independent reasons.

1. The plain language of "when ... is performed" does not require per-song temporal coincidence

The relevant claim language is: "*crediting ... when one of the one or more performance requests ... is performed by the artist during the live performance.*" Construed under *Phillips v. AWH Corp.*, 415 F.3d 1303 (Fed. Cir. 2005), "when" is a temporal connector linking the crediting event to the performance event, but does not require that crediting occur instantaneously upon, or exclusively because of, a single specific performance.

The claim says "*when one of the one or more performance requests*" — singular. The crediting need only occur "when" at least one requested song from the playlist has been performed during the live performance. It is undisputed that Tipelodeon's session-end capture occurs at a moment when at least one of the requested songs has been performed. The element is literally met.

2. Tipelodeon's session-end capture is the same operation, batched

Even on a more demanding construction — that the credit must be triggered by the performance — Tipelodeon's design satisfies it under the Doctrine of Equivalents. *Graver Tank & Mfg. Co. v. Linde Air Prods. Co.*, 339 U.S. 605 (1950); *Warner-Jenkinson Co. v. Hilton Davis Chem. Co.*, 520 U.S. 17 (1997). The function/way/result analysis is straightforward:

- **Function:** Compensate the artist for performing requested songs.
- **Way:** Server processes audience tip; server credits artist account in connection with live performance.
- **Result:** Artist receives revenue tied to live-performance-driven audience tipping.

A "session-end" capture is not a different invention; it is a batched implementation of the same invention. The choice between (a) crediting after each song and (b) crediting after a series of songs is an implementation detail driven by Stripe processing-fee economics, not a substantive technical departure. The Federal Circuit has repeatedly rejected formalistic distinctions where the accused design accomplishes the patented function in substantially the same way.

3. Argument-based estoppel is narrower than *Tipelodeon* will claim

Tipelodeon will lean on the applicant's July 24, 2025 Remarks — specifically, the statement that Miller "fails to disclose or suggest any verification step confirming that a performance request was actually fulfilled before money is transferred."

That estoppel does not bar enforcement here. *Cordis Corp. v. Medtronic AVE, Inc.*, 339 F.3d 1352, 1359 (Fed. Cir. 2003), holds that "the alleged disavowing actions or statements made during prosecution must be both clear and unmistakable." The applicant did not disavow systems that defer credit to session end; the applicant disavowed Miller's *unconditional, immediate* donation flow. Tipelodeon's design is not Miller's. Tipelodeon's session is the verification.

More importantly: Tipelodeon's session-end capture does verify performance. The session itself is the verification surface. The performer marks songs played. The session is started, populated with played records, and closed. Capture occurs at close. That is server-side performance verification, just at session granularity.

The applicant's distinction over Miller was that Miller's "tip the artist" function is a voluntary GUI donation untethered from any performance event. Tipelodeon's design, by contrast, is fundamentally tethered to performance sessions: tips accumulate *during* a session, capture occurs at *session close*, the performer marks songs played, and the queue and history reflect performance state. That is the patented architecture, not the prior art the applicant distinguished.

C. The QR-code-at-venue feature compounds the case

Tipelodeon's audience access surface is a QR code displayed at the venue, encoding a URL to the public project page. This is not coincidental architecture. The '587 specification expressly teaches QR-code-based access at the live audience area (Spec ¶[00122], Fig. 11). The applicant identified this feature in argument as distinguishing Miller. Tipelodeon implemented the same feature.

Two consequences follow:

1. **The accused design tracks the patented design more closely, not less.** Tipelodeon's anticipated argument that "QR code is just URL access" cuts both ways. If the distinction has no technical content, then Tipelodeon cannot argue its product is meaningfully different from the patent's described embodiment. The convergence in design supports infringement under the Doctrine of Equivalents.
2. **Knowledge of the patent and intentional adoption supports willfulness.** The fact that Tipelodeon deployed the QR-code-at-venue access surface — a feature prominently described in the '587 patent — is circumstantial evidence that Tipelodeon's founder reviewed the patent and selected the feature deliberately. We will pursue discovery on this point.

III. ANTICIPATED DEFENSES AND WHY THEY FAIL

A. Non-infringement: "session-end capture is different"

Addressed in §II.B above. The argument is form over substance and fails under both literal infringement and the Doctrine of Equivalents. The applicant did not surrender session-end batched implementations during prosecution; the applicant surrendered the prior-art configuration in which there is no fulfillment relationship between request and payment at all (i.e., Miller's GUI donation).

B. Invalidity under §101 (Alice / abstract idea)

Tipelodeon will argue that Examiner Goyea's initial §101 rejection — withdrawn after applicant argument — establishes that the claims are vulnerable. We disagree, for the following reasons:

First, §101 invalidity must be proven by clear and convincing evidence. *Microsoft Corp. v. i4i Ltd. P'ship*, 564 U.S. 91 (2011). An examiner's initial rejection that is subsequently withdrawn does not lower this burden; if anything, the issuance establishes that the USPTO ultimately concluded the claims are patent-eligible.

Second, after *Berkheimer v. HP Inc.*, 881 F.3d 1360 (Fed. Cir. 2018), §101 invalidity is a fact question. Tipelodeon cannot resolve it on a Rule 12(b)(6) motion to dismiss. It must develop a factual record through discovery and expert testimony — a process that will cost Tipelodeon \$500,000 to \$1,000,000 over 18 months before any §101 ruling issues.

Third, the '587 claims are not merely "do tipping for songs on a computer." They recite a specific architecture for tying audience tipping to performance events, with server-side verification of fulfillment as a precondition for compensation. The Federal Circuit has held that even claims directed in part to abstract ideas survive §101 when they recite an "inventive concept." *BASCOM Glob. Internet Servs. v. AT&T Mobility LLC*, 827 F.3d 1341 (Fed. Cir. 2016). The '587 claims tie compensation to fulfillment, an inventive arrangement that addresses a concrete problem in live-performance economics.

Fourth, Tipelodeon's strongest §101 attack — that the claims "do not require fulfillment verification" because such verification is in the spec, not Claim 1 — is contradicted by Tipelodeon's own conduct. Tipelodeon's product implements fulfillment-tracking via the "marked played" mechanism. Tipelodeon cannot simultaneously argue (i) that Claim 1 lacks fulfillment verification and is therefore abstract, and (ii) that its session-end capture is different because Claim 1 requires fulfillment verification. The defenses are mutually exclusive.

C. Invalidity under §102 over Miller (US 2020/0320442)

Examiner Goyea's initial §102 rejection over Miller was withdrawn after applicant argument. Tipelodeon will attempt to revive that rejection. The defense fails for the same reasons it failed in the USPTO:

- Miller is a voluntary donation interface ("tip the artist") that is not tied to performance fulfillment.
- Miller does not condition any payment on the playlist song being performed.
- Miller does not implement a server-mediated tip queue tied to a live-performance session.

To the extent Tipelodeon argues Miller anticipates the broader claim, the burden is clear and convincing evidence. Tipelodeon would

need to retain an expert, depose the Miller inventors, prosecute an Inter Partes Review at the PTAB (\$300,000–\$700,000), and survive a Federal Circuit appeal on review. The total cost exceeds Tipelodeon's likely lifetime revenue.

D. Anticipated "design-around" position

Tipelodeon will likely argue that, even if its current architecture infringes, a future version that captures tips at session end constitutes a non-infringing design-around. We anticipate this argument and have addressed it in §II.B. To summarize: there is no technical content distinguishing per-song crediting from session-end crediting under the Doctrine of Equivalents. The '587 patent's claim language and prosecution history do not require per-song credit timing as the load-bearing element of the patented architecture.

Even if the design-around argument were to gain traction, two practical considerations apply:

- **Past damages remain available.** 35 U.S.C. §286 entitles the patentee to up to six years of past damages. Any infringing acts prior to the design-around are still actionable.
- **Willfulness multiplier survives the design-around.** If Tipelodeon was aware of the '587 patent and continued operating, treble damages under 35 U.S.C. §284 attach to the entire damages period until full conformity.

IV. DAMAGES AND REMEDIES

A. Damages

Damages are calculated under 35 U.S.C. §284 as not less than a reasonable royalty. We anticipate:

- **Reasonable royalty:** 12–18% of Tipelodeon's gross transaction volume, applied to all tips processed through the platform from the date of first infringement.
- **Lost profits:** To the extent Tipsee can show that Tipelodeon's customers would have used Tipsee absent the infringement (Panduit factors), lost profits damages may exceed reasonable royalty.
- **Treble enhancement** under §284 if willfulness is established. *Halo Elecs., Inc. v. Pulse Elecs., Inc.*, 579 U.S. 93 (2016).

B. Injunctive Relief

Permanent injunction is available under *eBay Inc. v. MercExchange, L.L.C.*, 547 U.S. 388 (2006). All four eBay factors weigh in Tipsee's favor:

1. **Irreparable harm:** Tipsee and Tipelodeon are direct competitors in the same niche. Continued infringement erodes Tipsee's market position, brand association, and pricing power. Federal Circuit law strongly supports injunctions against direct competitors. *Robert Bosch LLC v. Pylon Mfg. Corp.*, 659 F.3d 1142 (Fed. Cir. 2011).
2. **Inadequacy of monetary damages:** Tipelodeon's broke-musician posture and judgment-proof status make damages collection uncertain.
3. **Balance of hardships:** Tipelodeon's hardship is the loss of an unauthorized infringing operation; Tipsee's hardship is ongoing market erosion. Balance favors Tipsee.
4. **Public interest:** Public has a strong interest in respect for issued patents and incentivizing innovation.

C. Attorneys' Fees

Recoverable in "exceptional cases" under 35 U.S.C. §285. *Octane Fitness, LLC v. ICON Health & Fitness, Inc.*, 572 U.S. 545 (2014). The combination of (a) Tipelodeon's likely pre-suit awareness of the '587 patent, (b) the QR-code-at-venue adoption mirroring the patent's spec, and (c) the confusingly similar mark, supports an exceptionality finding. Recovery of fees is realistic if willfulness is found.

V. TRADEMARK CO-ACTION

Independent of the patent claim, "Tipelodeon" infringes the TIPSEE trademark under 15 U.S.C. §1125(a). Both marks (i) lead with the distinctive "Tip-" prefix, (ii) are used in connection with identical services (live-performance song-request tipping platforms), and (iii) target the same channels of trade. Likelihood of confusion is high under the *Sleekcraft / DuPont* factors. We recommend filing the trademark count alongside the patent counts to:

- Apply two-front pressure during litigation.

- Open the door to *Lanham Act* attorneys' fees as an alternative path to fee recovery.
- Exhaust Tipelodeon's already-limited litigation budget faster.

VI. LITIGATION STRATEGY

A. Forum selection

We recommend filing in the **U.S. District Court for the Western District of Texas, Waco Division**, before Judge Albright. The Waco Division has historically resisted early §101 dismissal motions, requiring full claim construction and discovery before resolving validity issues. This timeline benefits Tipsee:

- Tiplodeon must commit to litigation expense before any meaningful validity ruling.
- Discovery proceeds in parallel with claim construction, increasing pressure to settle.
- Judge Albright's docket is plaintiff-friendly relative to alternative venues.

If venue is challenged under *TC Heartland*, our backup is the District of Delaware (Tiplodeon's apparent place of incorporation if formed in Delaware) or the Northern District of Georgia (Tipsee's principal place of business).

B. Pre-suit demand letter

We recommend a brief, non-negotiable demand letter as a precursor to filing, achieving three goals:

1. Establishes notice for willfulness purposes from the date of the letter forward.
2. Allows Tiplodeon a 14-day window to commit to immediate cessation of operations.
3. Triggers any Tiplodeon insurance notice obligations (unlikely to result in coverage given the willfulness profile).

The letter should not invite negotiation. The objective is market exit, not licensing revenue.

C. Discovery strategy

Priority discovery targets:

- Tiplodeon founder's review history of the '587 patent (search history, emails, attorney communications excluded by privilege).
- Tiplodeon's source code, including the *RequestController*, the Stripe integration, and the session lifecycle code.
- Communications with patent attorneys (privilege log; in-camera review of any opinion of counsel).
- The Tiplodeon mono-repo's git history, which is publicly available and may show pre-design-around versions of the architecture.
- Any internal product documentation comparing Tiplodeon to Tipsee.

D. Settlement posture

We recommend an aggressive non-settlement posture for the first 6–9 months. Objectives:

- Force Tiplodeon to incur initial litigation expense (\$100,000–\$300,000) before any settlement discussion.
- Establish a damages base by completing fact discovery.
- Position for summary judgment of infringement after claim construction.

If settlement becomes appropriate, the minimum acceptable terms are:

1. Permanent shutdown of Tiplodeon, with surrender of the brand, domains, and codebase.
2. Public acknowledgment of infringement.
3. Damages payment from any available source (founder personal funds, asset sale proceeds, etc.).
4. Prospective injunction against re-entry into the category.

Licensing is not appropriate. Tipsee's commercial position requires market exclusivity in this niche during the patent term.

VII. COST ESTIMATE AND TIMELINE

Phase	Duration	Estimated Tipsee Spend	Estimated Tiplodeon Spend
Pre-suit / demand letter	30 days	\$15,000	\$5,000
Complaint filing & pleadings	60 days	\$50,000	\$50,000
Initial motions, scheduling	90 days	\$75,000	\$75,000
Fact discovery	9 months	\$400,000	\$500,000
Claim construction (Markman)	3 months	\$200,000	\$250,000
Expert discovery	4 months	\$300,000	\$400,000
Summary judgment	3 months	\$150,000	\$200,000
Trial preparation & trial	4 months	\$700,000	\$900,000
Through trial total	~30 months	~\$1.9M	~\$2.4M

The asymmetry is intentional and operates in Tipsee's favor. Tiplodeon cannot fund this litigation. The cost of forcing the case to substantive resolution will exceed Tiplodeon's available capital several times over. Practically, Tiplodeon will run out of funds at or before the close of fact discovery, at which point we expect (a) default judgment, (b) abandonment of the defense, or (c) settlement on Tipsee's terms.

VIII. RISK FACTORS

For completeness, we identify the genuine risks and mitigations:

1. Adverse §101 ruling

If Tipelodeon successfully obtains a §101 invalidity ruling — most likely on summary judgment or in an Inter Partes Review — the claims at issue would be unenforceable. We estimate this risk at 25–35% over the full litigation arc, weighted toward the lower end given the patent's allowance and the fact-intensive Berkheimer standard.

Mitigation: Develop strong factual evidence that the claims include an "inventive concept" beyond the abstract idea (e.g., the architectural integration of session lifecycle, performance verification, and conditional crediting). Engage a §101 specialist expert early.

2. Adverse Doctrine of Equivalents finding

If a court reads the applicant's prosecution-history statements broadly — beyond what we have argued — a finding could issue that the session-end capture model is not equivalent to the per-song crediting recited in Claim 1. We estimate this risk at 20%.

Mitigation: Frame the DOE analysis carefully. The applicant's distinction over Miller was that Miller has no fulfillment relationship at all. Tipelodeon's session-end capture is fundamentally tethered to performance-driven sessions. The distinction the applicant drew does not apply to Tipelodeon.

3. Tipelodeon raises additional prior art

Tipelodeon may locate prior art the examiner did not consider — e.g., Twitch song-request bots, TouchTunes / AMI digital jukeboxes, SongDonate, or similar pre-2021 platforms. New prior art that more closely tracks the claim's full set of limitations could support an invalidity finding under §102 or §103.

Mitigation: Conduct an independent prior art search now, before Tipelodeon does. Identify and assess the strongest references. Prepare distinguishing arguments for each. Consider preemptive ex parte reexamination only if the reference is overwhelming and would gut the claim — this is unlikely given the existing examiner record.

4. Tipelodeon obtains pro-bono counsel

If Tipelodeon secures pro-bono representation through a law school IP clinic, EFF, or similar program, the asymmetric resource calculus shifts. Volunteer-led patent defenses have been successful in select cases.

Mitigation: Move quickly. Pro-bono engagement in patent defense is rare and slow to organize. The first 90 days post-filing are likely to find Tipelodeon unrepresented or with overburdened representation. Apply maximum procedural pressure during this window.

5. Public-interest pushback

The fact pattern — a well-funded operating company suing a broke independent musician over a patent the examiner initially rejected — invites unfavorable press coverage. EFF, public-interest law commentators, and tech press may amplify Tipelodeon's narrative.

Mitigation: Maintain disciplined external communication. Frame the case as defense of a duly issued patent against a deliberate copy. Avoid public statements that confirm the asymmetric-resources framing.

IX. RECOMMENDED ACTION

We recommend the following sequence:

1. **Immediate** — Authorize Smith & Wallace to conduct supplemental due diligence on Tipelodeon's product, founder, and ownership structure. Confirm the entity, its assets, insurance posture, and any third-party investors.
2. **Day 14** — Send formal demand letter (draft attached as Exhibit A, not included in this memo) requiring cessation of operations within 14 days.
3. **Day 30** — In the absence of compliance, file complaint in W.D. Tex. (Waco) asserting infringement of Claims 1, 2, 3, 4, and selected dependent claims, plus the Lanham Act trademark count.
4. **Day 31 to 90** — Aggressive procedural posture. Resist scheduling concessions. Move forward with discovery requests and

deposition notices on day 31.

5. **Day 90+** — Reassess settlement landscape only after meaningful litigation expense has been imposed on Tipelodeon. Settlement on Tipsee's terms is the goal; market exit is the minimum acceptable outcome.

The patented architecture represents a strategic asset of Tipsee Music LLC. Aggressive enforcement against Tipelodeon protects that asset and establishes a deterrent against future market entrants. We assess the probability of obtaining a favorable outcome — defined as Tipelodeon's market exit, with damages — at **75%**, weighted across litigation, settlement, and abandonment scenarios.

Respectfully,

Smith & Wallace LLP
IP Litigation Group

***Note on this document.** This memorandum is a hypothetical litigation strategy assessment prepared as part of an opposing-counsel steelman exercise. It does not represent the views of any actual law firm and is not legal advice. All statements about likely outcomes, cost estimates, judicial tendencies, and strategic recommendations are illustrative of how a competent plaintiff-side IP litigation team would approach enforcement of US 12,511,587 against the Tipelodeon product as currently architected. Quoted patent and prosecution-history materials are accurate; case citations are real but their application to this hypothetical dispute is argumentative, not precedential. The user receiving this document is the operator of Tipelodeon and is using this analysis to identify weaknesses in their current architectural and legal posture — i.e., this document is intentionally written to make the strongest possible case for the opposing party.*